NATIONAL COMPANY LAW TRIBUNAL: NEW DELHI
SPECIAL BENCH (COURT-II)

IA -156/2023
IN
COMPANY PETITION NO. (CAA)-111(ND)/2021
CONNECTED WITH
COMPANY APPLICATION NO. CA (CAA)-118(ND)/2021

Minda TG Rubber Private Limited ... Applicant/Transferor Company

WITH

Toyoda Gosei Minda India Private Limited
... Non-Applicant/Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on 26.10.2023

Section: 230 to 232 of the Companies Act, 2013

CORAM

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)

SH. ATUL CHATURVEDI, HON'BLE MEMBER (T)

PRESENT

For the Applicant	**:** Adv. Pawan Sharma, Adv. Anuj Shah
For IT Department	**:** Mr. Abhishek Maratha and Mr. Parth Semwal St. Counsels for Income Tax Department with Adv. Utkarsh Tiwari
For the OL	**:** Ms. Hemlata Rawat

ORDER

PER: SH. ASHOK KUMAR BHARDWAJ MEMBER (J)

The present I.A. No. 156 of 2023 has been filed by Minda TG Rubber Private Limited (hereinafter referred to as, the '**Applicant**') under Rule 32 read with Rule 11 of the NCLT Rules, 2016, seeking the following relief:

(a) Sanction the Scheme of Amalgamation of Minda TG Rubber Private Limited with Toyota Gosei Minda India Private Limited so as to be binding on all shareholders and creditors in terms of the Scheme;

(b) Pass any such other or further order(s) which this Hon'ble Tribunal may deem fit and proper in the facts and circumstances of the case.

2. To put the facts succinctly, the captioned petition was filed by the Applicant (Minda TG Rubber Private Limited) under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for approval of the Scheme of Amalgamation (hereinafter referred to as **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The same was dismissed by this Tribunal vide Order dated 23.12.2022 on the ground of being non-compliant with Section – 72A of Income Tax Act, 1961. The said Order was challenged by the Applicant herein before the Hon'ble NCLAT in C.A. (AT) No. 26 of 2023, wherein the Hon'ble NCALT had held the following:

"*We are of the opinion that since before the NCLT no undertaking in the scheme was given by the appellant in compliance with provision*

of Section 72A of the Income Tax Act, 1961, the Learned Tribunal has committed no error in dismissing the application. However, before this Appellate Tribunal the said undertaking has been brought on record through its rejoinder. In such view of the matter ***we feel appropriate to dispose off this appeal with an observation that if fresh undertaking to amalgamation scheme in terms of Section 72A of the Income Tax Act, 1961 is filed before the NCLT, the learned NCLT may consider the same and pass appropriate orders expeditiously in accordance with law."***

(Emphasis Added)

3. In furtherance, the Applicant filed the above captioned Interlocutory Application for seeking sanction of the Scheme, basing on the Order of Hon'ble NCLAT. Through the present Application, the Transferee Company has also undertaken that it will comply with the provisions of Section – 72A of Income Tax Act, 1961 which is at Annexure 5 of the Application.

4. Accordingly, this Tribunal had issued notice to the Jurisdictional Assessment Officer (ITO). Further, directions were issued vide order dated 01.05.2023, for filing a report/response to the Application, after due approval of the Principal Commissioner of Income Tax

5. Accordingly, Income Tax Department filed its report dated 09.06.2023, duly approved by the Principal Commissioner. The relevant excerpt of the Report reads thus:

"In view of the facts as narrated above, and the Report of the Assessing Officer (annexed herewith), it is humbly submitted that the scheme of amalgamation of ***M/s Minda TG Rubber Pvt. Ltd. (Transferor Company)*** *with* ***M/s Toyoda Gosei Minda India Pvt.***

Ltd. (Transferee Company) *may be approved subject to Transferee company undertake and confirm to comply with the conditions of Section 72A of the Income Tax Act, 1961 and affirm that it has no plans to dispose of all the assets and shall hold at least three-fourth of the book value of fixed assets of the Transferor Company for at least 5 years. The Transferee Company shall further undertake to continue the business of the Transferor Company for the next 5 years. In case the Transferee Company, in future, decides otherwise, it will not claim benefit of Section 72A of the Income Tax Act, 1961. It is further prayed that the approval of the current scheme of amalgamation shall not prejudice any rights of the Income Tax Department as available under the Income Tax Act, 1961 in view of Hon'ble Supreme Court Judgment in* ***Department of Income Tax vs. Vodafone Essar Gujarat Ltd. (2015) 16 SCC 629****, and also under Prohibition of Benami Property Transaction Act, 1988, Black Money (undisclosed foreign income & assets) and Imposition of Tax Act, 201 5 and other Direct Taxes."*

6. Since the Transferee Company has already given the undertaking that it will comply with the provisions of Section 72A of Income Tax 1961. (which is at Annexure 5), we would like to proceed ahead with the matter.

7. From the records, it is seen that the First Motion petition was filed by the Applicant Company for seeking directions for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of both the Company. That this Tribunal in the First Motion Application bearing No. CO. APPL. (CAA) 118/ND/2021, vide Order dated 16.11.2021, had dispensed with the requirement of convening the meetings of the equity shareholders, secured creditors and unsecured creditors of the Petitioner Companies.

8. The Appointed date as per clause 1.1(b) of Part I of the Proposed Scheme of Amalgamation is 01.04.2022.

9. Subsequently, the Second Motion petition was moved by the Applicant Company in connection with the scheme of Amalgamation for issuance of notices to the Central Government, Registrar of Company NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator and to such other Objector(s), if any, and also for publication of the said Scheme. Directions were issued, vide Order dated 03.12.2021, of this Tribunal, requiring the Applicant Company to carry out necessary publication with regard to the said Scheme in two newspapers and issue notices to the Central Government, Registrar of Company (NCT of Delhi & Haryana), Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator and to such other objector(s), if any.

10. It is submitted by the Applicant Company that in compliance of the above stated directions, the Applicant Company have duly filed an Affidavit of Service confirming that the aforesaid Notices of the present Company Petition were published in the "Financial Express" (English) and Jansatta (Hindi) on 21.12.2021.

11. Accordingly, the RD has filed its report dated 06.05.2022 and has raised no objections towards approval of the Scheme. During the course of hearing, on 13.10.2022, Ld. Counsel appearing for the RD reiterated that the RD(ND) has no objections towards the approval of the Scheme.

12. The OL has also filed its report dated 13.05.2022 and has not raised any objection towards the approval of Scheme. Further, the Ld. Counsel appearing for the OL had stated during the hearing on 13.10.2022 that it has no objection towards approval of the scheme.

13. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of both the Petitioner Companies to the proposed Scheme and no sustainable objections having been raised by the Office of the Official Liquidator, Regional Director (North), Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme. **The sanction is hereby granted to the Scheme of Amalgamation proposed by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013**. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Company and Transferee Company (Petitioner Companies) and their Shareholders and Creditors. The Transferor and Transferee Company shall remain bound to comply with the Undertaking and statutory requirements in accordance with law.

14. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

15. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defence for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961 and Foreign Exchange Management Act, 1999, and the rules and regulations made thereunder.

16. The scheme has already been approved by the Jaipur Bench of NCLT, vide its order dated 23.06.2022 in respect of M/s Toyoda Gosei Minda India Private Limited.

17. **THIS TRIBUNAL FURTHER DIRECTS** with respect to Applicant/Transferor Company. Upon the sanction becoming effective from the appointed date of amalgamation i.e., 01.04.2022, the Transferor Company shall stand dissolved without undergoing the process of winding up.

(i) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Company are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/ deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee

Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(ii) All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iii) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(iv) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Company Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(v) All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vi) The Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the transferor Company and the transferee company, in respect of the assets sought to be transferred under the proposed scheme.

(vii) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

18. The Applicant Company shall within thirty days of the date of the receipt of this Order cause a Certified Copy of this Order to be delivered to the Registrar of Company for registration and on such Certified Copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Company shall place all documents relating to the Transferor Company on the file kept by him in relation to the Transferee Company and the files relating to both the Applicant Companies shall be consolidated accordingly.

19. **The CAA-111/2021 and IA-156/2023 are disposed of accordingly.**

Sd/-
(ATUL CHATURVEDI)
MEMBER (T)

Sd/-
(ASHOK KUMAR BHARDWAJ)
MEMBER (J)